BANKING SIMULATION | CIA 3

ICICI Bank

Steering India's second-largest private bank through a two-year recession

Team members

[Name 1] – CEO & Strategy – [App ID]
[Name 2] – CFO & Treasury – [App ID]
[Name 3] – Chief Risk Officer – [App ID]
[Name 4] – Head of Retail & Deposits – [App ID]
[Name 5] – Head of Customer & Marketing – [App ID]

Faculty: Prof. Apurva Mehta • Atlas University • Simulation from 21 Oct 2026

EXECUTIVE SUMMARY

Profitable every quarter, with more capital and share at exit

₹42,537 cr
Year-2 net profit
Y1 ₹33,461 cr (−33.3% vs FY26)

3.00%
Peak gross NPA
from 1.40% at start; 2.59% at exit

15.1%
Year-2 RAROC
vs 14% hurdle; trough 11.9%

+12 bp
Deposit market share
6.84% → 6.96%

What hit us Defaults rose to 3× normal, credit demand stalled and fee income fell; provisions jumped from ₹5,380 cr to ₹25,352 cr in Year 1.

What we did Shrank unsecured retail, priced risk, paid a little more for stable deposits, used our ₹13,100 cr contingency buffer at the peak and kept lending to strong borrowers.

Where we ended CET-1 17.22% (min 8.2%), customer satisfaction 81%, loan book +12.5% larger with unsecured share down to 9.9%.

We start from ICICI Bank's real FY2026 balance sheet

FUNDING

₹17.95 lakh cr

deposits, 41.4% CASA; low-cost current & savings accounts are ICICI's moat

DEPLOYMENT

₹15.54 lakh cr

net advances: 50% retail, 19% business banking & SME, 24% corporate, 6% rural

EARNINGS

₹50,147 cr

FY26 profit after tax, +6.2% YoY; NIM 4.32%, cost-to-income 39.7%

1.40%	0.33%	16.35%	17.18%	₹13,100 cr	7,511
Gross NPA	Net NPA	CET-1 ratio	Total capital	Contingency buffer	Branches

Initial capital for the simulation: net worth of about ₹3.52 lakh cr on total assets of ₹23.73 lakh cr. ICICI enters the downturn with one of the strongest balance sheets in Indian banking – the question is how to use that strength, not whether it survives.

Source: ICICI Bank performance review & Form 6-K, quarter ended 31 Mar 2026 (standalone). Segment mix rounded from ICICI disclosures.

Eight quarterly rounds, four decision levers, one scorecard

Round 1	Round 2	Round 3	Round 4	Round 5	Round 6	Round 7	Round 8
Y1 Q1	Y1 Q2	Y1 Q3	Y1 Q4	Y2 Q1	Y2 Q2	Y2 Q3	Y2 Q4

DECISION LEVERS

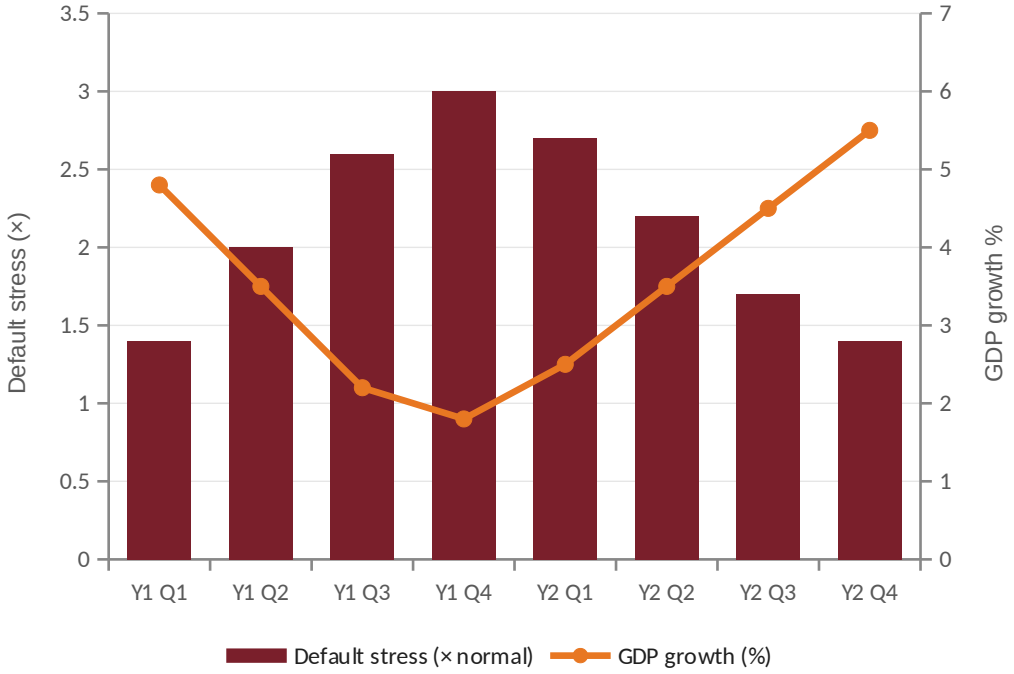
1. **Investment**
   How much to grow each of five loan segments
2. **Pricing**
   Risk premium on loans, rate offers, FD premium
3. **Marketing**
   Retention campaigns, digital & service spend
4. **Risk**
   Underwriting, collections, coverage, buffer

TEAM ROLES

CEO & Strategy	Overall plan, round decisions
CFO & Treasury	P&L, capital, RAROC, liquidity
Chief Risk Officer	Underwriting, NPAs, provisions
Head – Retail & Deposits	Loan mix, pricing, CASA
Head – Customer & Marketing	Campaigns, survey, service

Scorecard per the brief: profitability (net income), customer satisfaction (survey), market share (% of total market) and risk-adjusted return (RAROC).

The recession: defaults triple, demand stalls, RBI cuts rates



1 Credit shock
Fresh slippages peak at 3.7% of loans (annualised) in Y1 Q4 – 2.5× normal even after tighter underwriting.

2 Rate cuts
RBI repo falls 5.25% → 4.50%, squeezing loan yields faster than deposit costs.

3 Demand & fees
System credit growth slows to ~3% a year; fee activity drops 16% at the trough.

Scenario inputs on the Market sheet of our model; we replaced them each round with the conditions announced in class.

Our plan: protect, price, retain – then rebuild

PROTECT

the balance sheet

- Cut unsecured retail before defaults peak
- Tighten underwriting up to 15%
- Build, then spend, the contingency buffer

PRICE

risk honestly

- +25–50 bp on unsecured & SME loans
- Small discount on home loans to win safe share
- Reprice back down as losses fall

RETAIN

customers & deposits

- Salary & current-account campaigns
- 10–15 bp FD premium at the peak
- EMI-relief journeys in the iMobile app

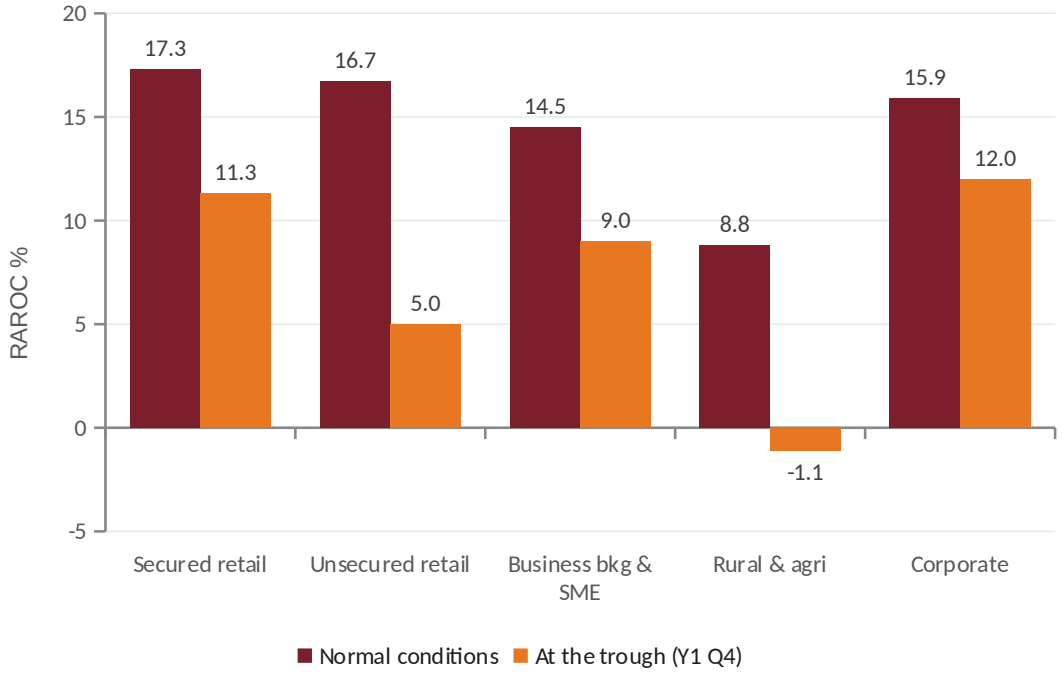
REBUILD

for the upturn

- Restart SME & rural lending in Year 2
- Cut dividend ₹12 → ₹10 to retain capital
- Rebuild the buffer once profits recover

Objectives we set before Round 1: profit in every quarter • GNPA below 3.5% • CET-1 above 15% • RAROC back above 14% within two years • customer satisfaction ≥ 78% • no loss of market share

Segment RAROC showed where to cut and where to keep lending



Shrink

Unsecured retail falls from 16.7% to 5.0% RAROC and rural turns negative – these books destroy value in a downturn.

Keep

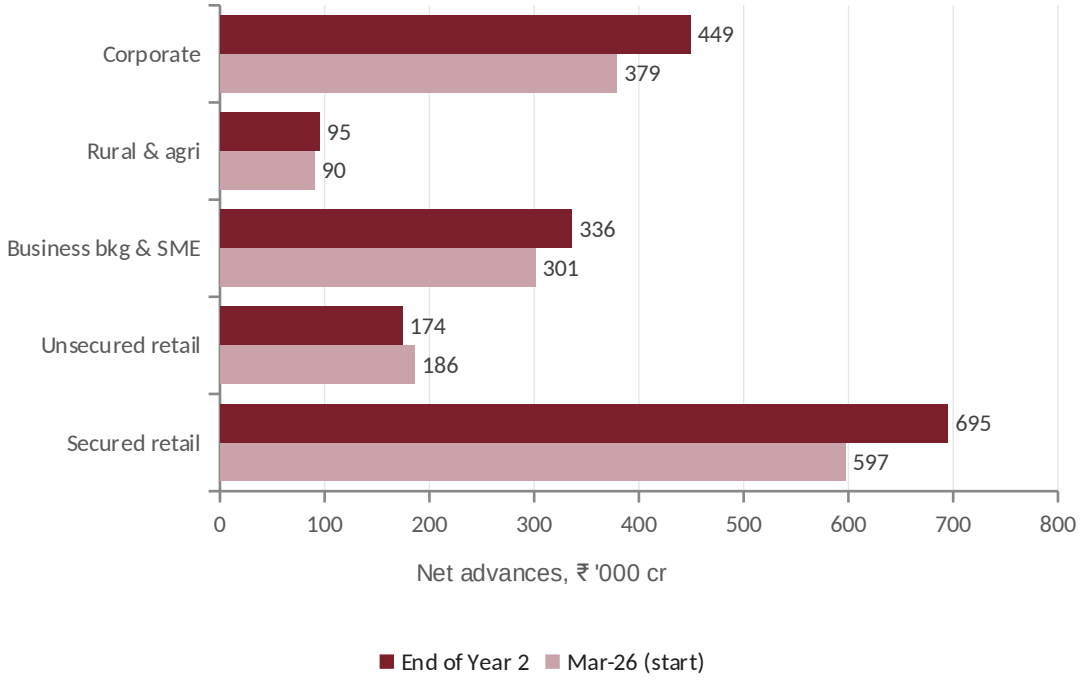
Secured retail and AAA/AA corporate hold up best (11–12%) because collateral and ratings cap the loss.

Reprice

Every segment dips below the 14% hurdle at the trough, so we added risk premium rather than chase volume.

Segment RAROC = (yield − funds cost + fees − opex − PD×LGD) × (1 − tax) ÷ (risk weight × 12% economic capital). Model sheet: Segment_RAROC.

We shifted the loan book towards collateral and strong corporates



12.0% → 9.9%

Unsecured share of loans

personal loans & cards cut −8.2% by Y1 Q4

+12.5%

Total loan growth (2 years)

vs system credit +12.3% – we still gained share

Growth set each round on the Decisions sheet (investment lever).

Year 1: get defensive early, then absorb the shock

Round	What the market did	What we decided	PAT	GNPA	RAROC
R1 Y1 Q1	Defaults 1.4×, GDP 4.8%	Shrink unsecured 1%, tighten underwriting 5%, add ₹1,000 cr to buffer, launch salary-account campaign	₹9,682	1.56%	**16.9%**
R2 Y1 Q2	Repo cut to 5.00%, defaults 2.0×	+25 bp risk premium, 10 bp FD premium, collections ₹250 cr, pay ₹12 dividend	₹8,057	1.87%	**15.1%**
R3 Y1 Q3	Defaults 2.6×, RAROC < hurdle	Unsecured −3%, underwriting −15%, premium 50 bp, PCR 77%, release ₹1,500 cr buffer	₹8,028	2.29%	**13.6%**
R4 Y1 Q4	Trough: defaults 3.0×	Release ₹3,000 cr buffer, PCR 78%, keep secured & corporate growing, freeze branch costs	₹7,694	2.74%	**11.9%**

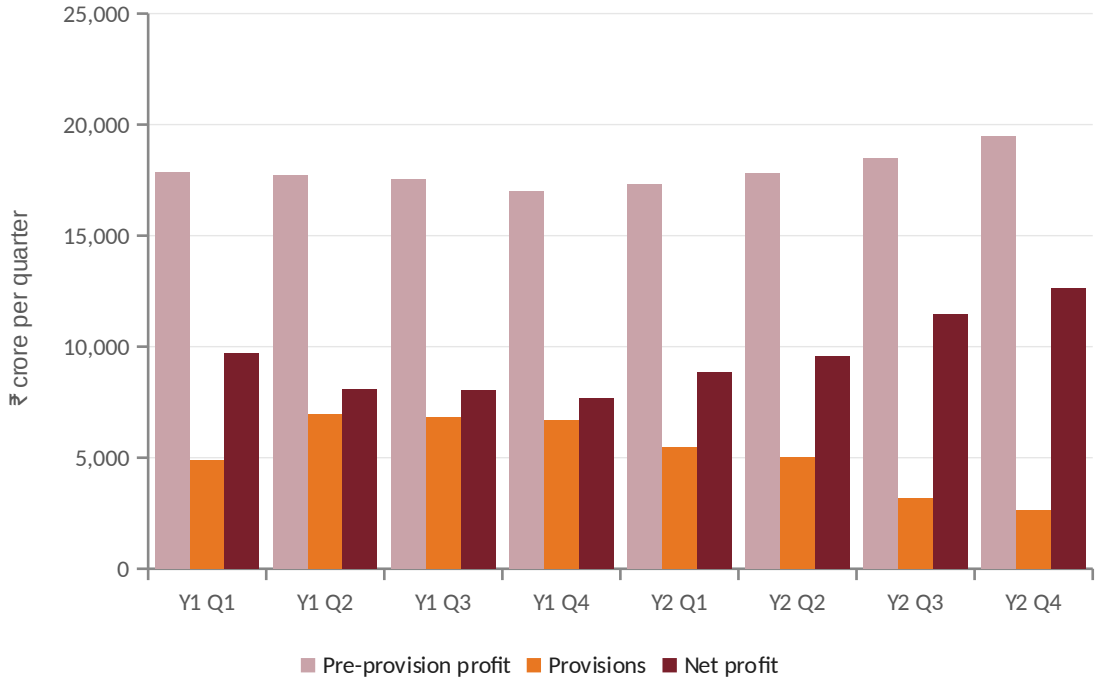
Takeaway: quarterly profit fell from ₹9,682 cr to ₹7,694 cr, but never into a loss – the buffer we built in R1–R2 paid for itself in R3–R4.

Year 2: hold discipline through the peak, then rebuild

Round	What the market did	What we decided	PAT	GNPA	RAROC
R5 Y2 Q1	Defaults easing to 2.7×	Release ₹2,000 cr, keep collections strong, restart SME +1% and rural +0.5%	₹8,863	2.98%	**12.9%**
R6 Y2 Q2	Defaults 2.2×, demand returns	Dividend cut to ₹10, premium halved to 25 bp, marketing ₹350 cr	₹9,570	3.00%	**14.3%**
R7 Y2 Q3	GDP 4.5%, fees recover	Grow all segments, end FD premium, rebuild buffer ₹500 cr	₹11,475	2.83%	**15.9%**
R8 Y2 Q4	GDP 5.5%, RBI hikes 25 bp	Full growth in secured, SME & corporate; rebuild buffer ₹1,000 cr	₹12,628	2.59%	**17.2%**

Takeaway: once RAROC cleared 14% again in R6 we loosened carefully; Y2 Q4 profit of ₹12,628 cr is back above the pre-recession run-rate of ~₹12,500 cr a quarter.

Core earnings held up; provisions did the damage



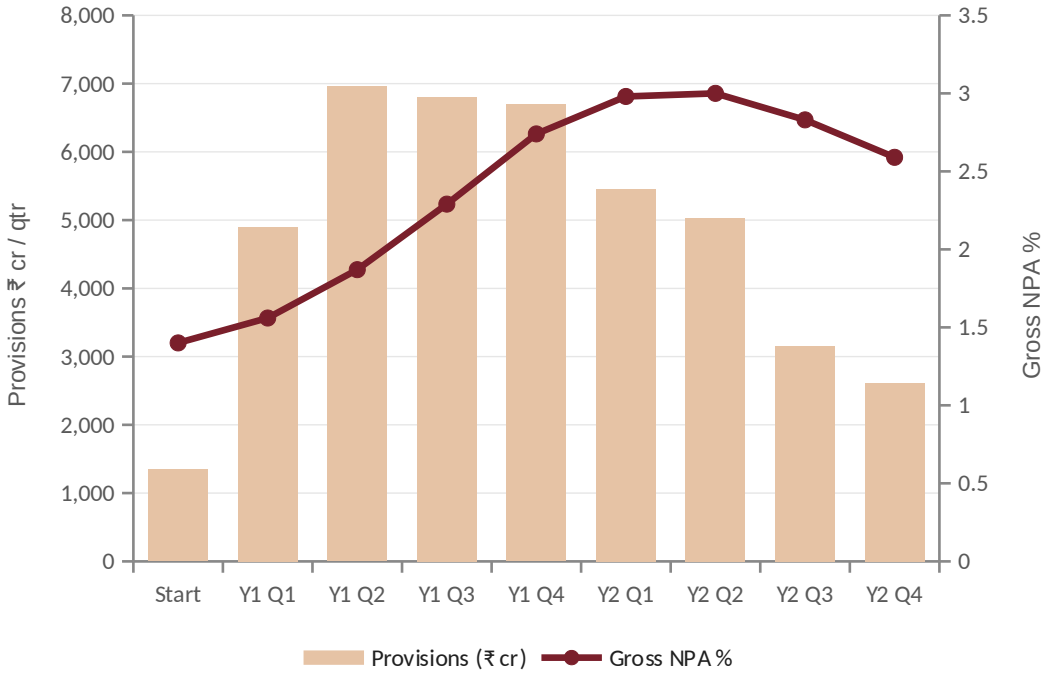
	FY26 (A)	Sim Y1	Sim Y2
NII	88,075	91,700	95,856
PPOP	71,599	70,068	73,105
Provisions	5,380	25,352	16,260
Net profit	**50,147**	**33,461**	**42,537**

ROE 15.1% → 9.2% → 10.8%

Cost-to-income stayed near 42% even with ₹2,900 cr of extra marketing, digital and collections spend in Year 1.

₹ crore. FY26 = ICICI reported standalone. Y1–Y2 = simulation.

Gross NPAs doubled to 3.0%, then turned; coverage kept rising



1.40% → 3.00%

Gross NPA (peak Y2 Q2)
net NPA peaked at only 0.68%

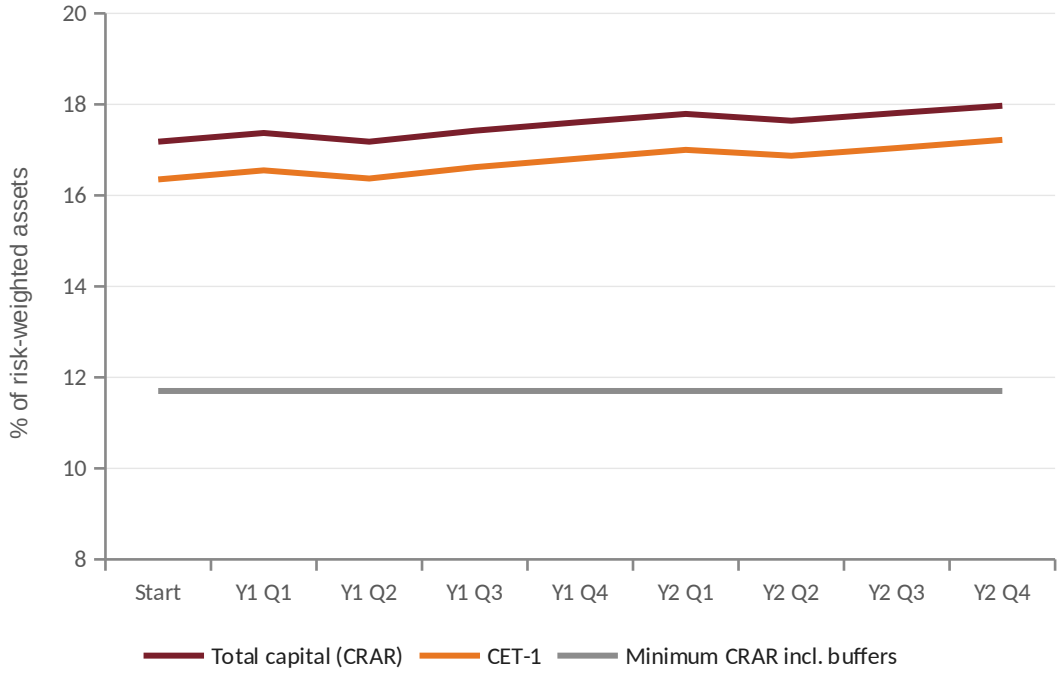
75.8% → 78%

Provision coverage
we raised coverage while NPAs rose

₹13,100 → ₹8,100 cr

Contingency buffer used
₹5,000 cr released at the peak

Capital never came close to the regulatory floor



17.97%

Total capital at exit
+6.3 pp above the 11.7% requirement

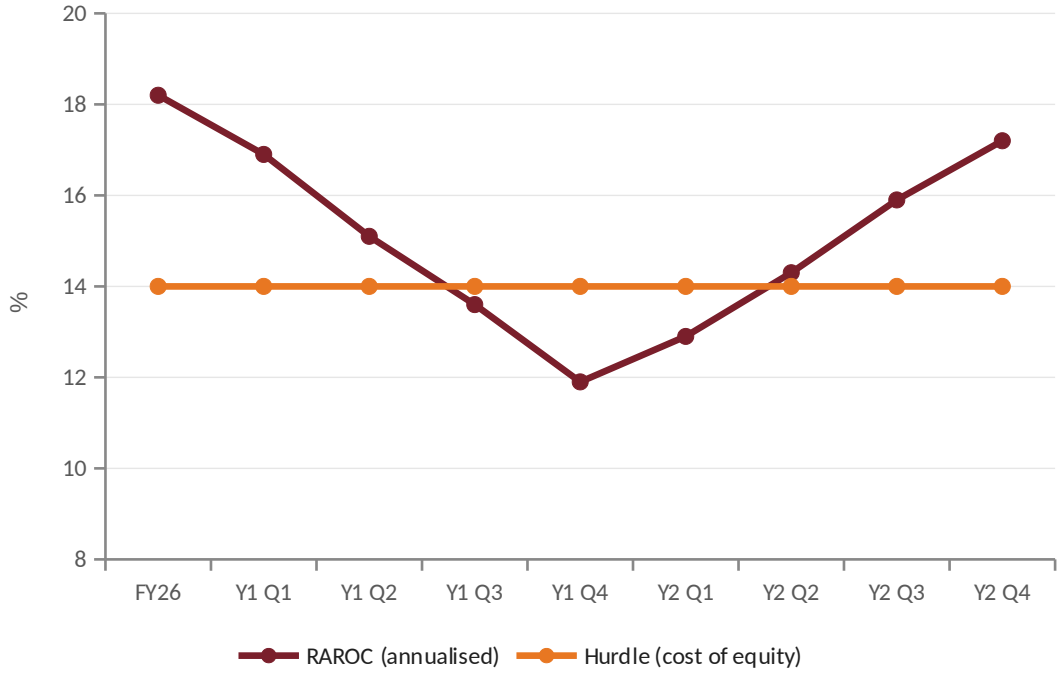
86.6% → 80.0%

Loan-to-deposit ratio
deposits grew faster than loans

41.4% → 40.1% → 41.1%

CASA ratio
dipped as savers chased FDs, then recovered

RAROC fell below our 14% hurdle for three rounds, and we acted



How we calculate it

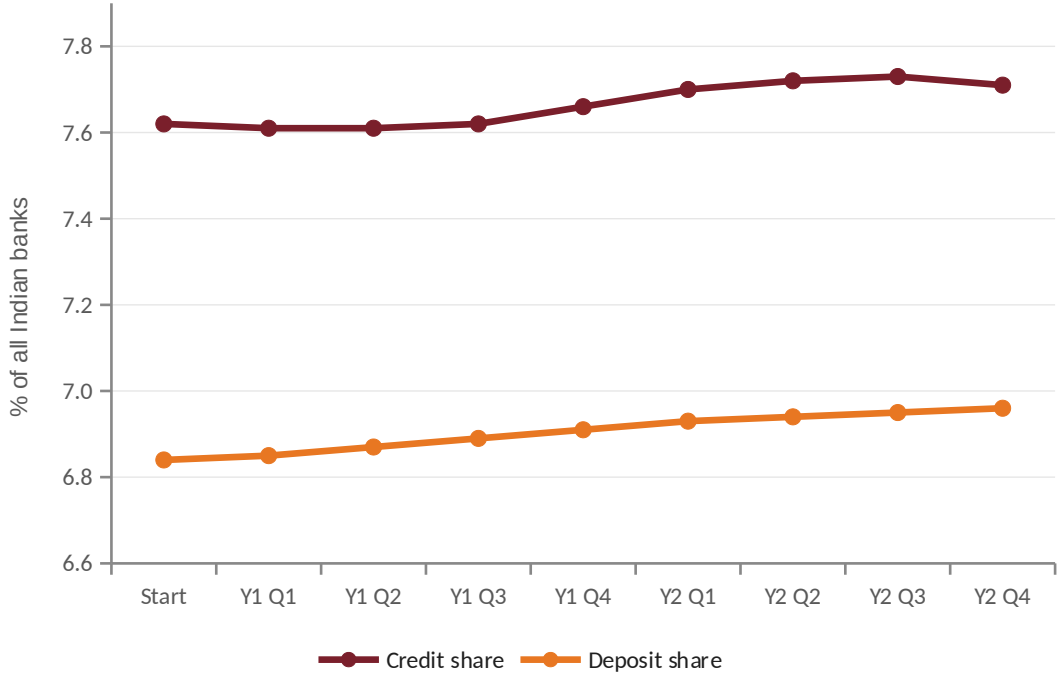
RAROC = (pre-provision profit − expected loss) × (1 − 25.17% tax) ÷ economic capital

Expected loss = PD × LGD × exposure, by segment. Economic capital = 12% of RWA.

FY26 (actual base)	**18.2%**
Sim Year 1	**14.4%**
Trough (Y1 Q4)	**11.9%**
Sim Year 2	**15.1%**

Below hurdle in R3–R5 → we repriced and cut weak segments rather than grow.

We gained share in deposits and loans through the downturn



6.84% → 6.96%

Deposit market share

+12 bp: 'safe bank' campaign + FD premium

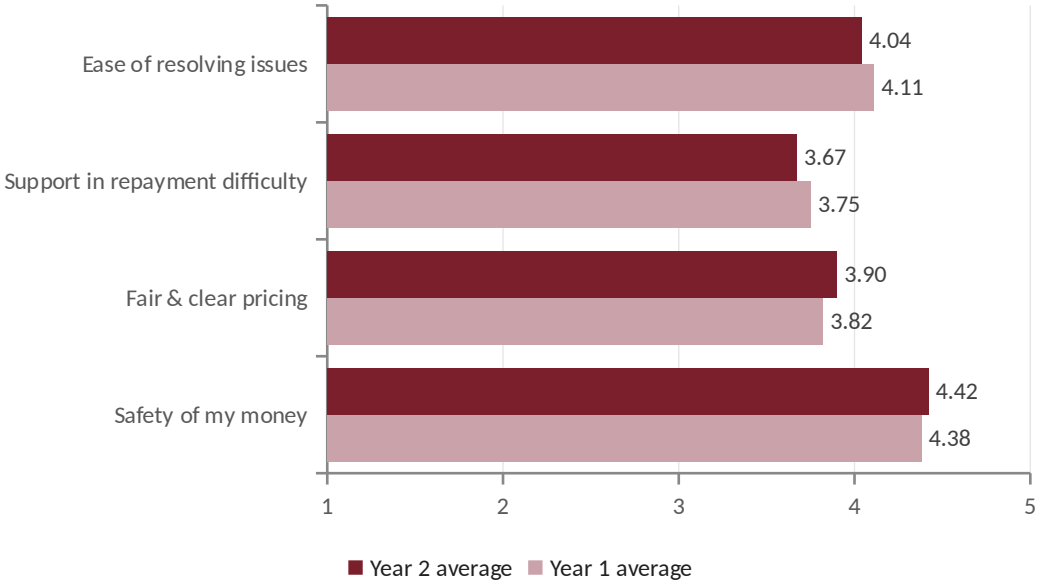
7.62% → 7.71%

Credit market share

+9 bp: kept lending to strong borrowers

Denominator: RBI scheduled commercial banks – deposits ₹262.3 lakh cr and credit ~₹206 lakh cr at Mar-26, grown with the scenario's system growth rates.

Customers felt the recession; hardship support scored lowest



81%

Satisfaction index (R8)
low of 79% in R5; target ≥ 78% met

+54

Net Promoter Score (R8)
fell to +34 at the trough, recovered by R8

Simulated survey: 50 customers per round, 1–5 scale plus 0–10 NPS. Scores move with our decisions (risk premium lowers 'fair pricing', collections and digital spend lift 'support'). Full questionnaire in the model.

Scorecard: market share up; profit and RAROC still recovering

Metric	FY26 (actual)	Sim Year 1	Sim Year 2	Verdict
Net profit (₹ cr)	50,147	33,461	42,537	Profitable every quarter; Y2 −15% vs FY26
RAROC	18.2%	14.4%	15.1%	Back above 14% hurdle
Deposit market share	6.84%	6.91%	6.96%	+12 bp
Credit market share	7.62%	7.66%	7.71%	+9 bp
Customer satisfaction index	–	80.3%	80.2%	Above 78% target
Gross NPA	1.40%	2.74%	2.59%	Below 3.5% limit
CET-1 ratio	16.35%	16.81%	17.22%	Stronger than at start
Return on equity	15.1%	9.2%	10.8%	Still below pre-recession

What the simulation revealed about ICICI Bank

STRENGTHS

- Capital: CET-1 never below 16.4% (min 8.2%)
- Pre-provision profit ~₹17,000–19,500 cr a quarter absorbed the shock
- 41% CASA franchise kept funding cheap
- ₹13,100 cr buffer gave room to act

WEAKNESSES

- Year-1 profit −33.3% vs FY26
- Unsecured retail RAROC collapsed to 5% under stress
- NIM squeezed as 60% of loans repriced with repo cuts
- Hardship support was the lowest survey score

OPPORTUNITIES

- Gained market share as weaker lenders retreated
- Secured retail & AAA corporate grew at acceptable returns
- Digital EMI-relief journeys lift satisfaction cheaply
- Restart SME lending early in the recovery

THREATS

- A longer recession would exhaust the buffer (₹8,100 cr left)
- Deposit price war if competitors chase FDs
- Rural & agri books destroy value in a downturn
- Regulatory tightening on unsecured risk weights

Where profit and fairness pulled apart, how we decided

1. **Fair pricing, not profiteering** We priced the extra risk (+25–50 bp) on unsecured and SME lending openly, and unwound the premium as soon as expected losses fell.

2. **Hardship before recovery agents** Collections spend went into early-warning calls and restructuring desks first; field recovery only after customers were offered EMI relief.

3. **Honest provisioning** We raised coverage from 75.8% to 78% while NPAs rose, rather than under-provisioning to flatter quarterly profit.

4. **Transparent use of the buffer** Releasing ₹5,000 cr of contingency provisions boosted reported profit – we disclose it explicitly so investors are not misled.

5. **Shareholders vs depositors** We cut the dividend from ₹12 to ₹10 in Year 2 to keep capital for depositors and new lending.

What we would tell the next team facing a recession

Challenges we faced

- Defaults rose faster than we expected in R2–R3
- Rate cuts squeezed margins just when credit costs peaked
- Every lever had a cost: FD premium hurt NIM, risk premium hurt satisfaction
- Balancing shareholder payout against capital in R2

What worked

- Moving first: shrinking unsecured in R1 before NPAs showed
- Building the buffer early and spending it at the trough
- Using segment RAROC, not just profit, to allocate capital
- Keeping marketing on – share gains came cheapest in the downturn

What we would change

- Cut rural exposure earlier – it was the only segment with negative stress RAROC
- Raise hardship support sooner – lowest customer score all simulation
- Hold some FD premium longer to defend CASA

Central lesson: a strong bank does not avoid a recession – it uses its strength early, measures returns after risk, and treats customers fairly when they are struggling.

Who did what

Member (App ID)	Role	Contribution to the simulation	Share
[Name 1] ([App ID])	CEO & Strategy	Set objectives, led round decisions, decision log, final presentation	[ ]%
[Name 2] ([App ID])	CFO & Treasury	Built P&L, balance sheet and RAROC model; capital & liquidity analysis	[ ]%
[Name 3] ([App ID])	Chief Risk Officer	Slippage & provision model, segment RAROC, underwriting and buffer calls	[ ]%
[Name 4] ([App ID])	Head – Retail & Deposits	Loan mix and pricing decisions, deposit/CASA strategy, market share	[ ]%
[Name 5] ([App ID])	Head – Customer & Marketing	Customer survey design and results, campaigns, SWOT & ethics slides	[ ]%

Members who did not contribute: [None / name and App ID]

Required by the brief: list every member, including anyone who did not contribute.

APPENDIX

Model, definitions and sources

RAROC	(PPOP − expected loss) × (1 − tax) ÷ (12% × RWA); hurdle 14%
Expected loss	Σ segment balance × PD (slippage rate × stress) × LGD
Gross / net NPA	GNPA ÷ gross advances; (GNPA − specific provisions) ÷ net advances
Market share	ICICI deposits (advances) ÷ all scheduled commercial banks
Satisfaction index	Average of four 1–5 survey scores ÷ 5; NPS = % promoters − % detractors
Data labels	FY25–FY26 = ICICI reported (A). Simulation years = fictional (S).

Sources

- ICICI Bank performance review & Form 6-K, Q4 FY2026 (Apr 2026)
- ICICI Bank Q4 FY26 investor presentation & earnings call
- ICICI Bank FY2025 results (Apr 2025)
- RBI statement of scheduled commercial banks, 31 Mar 2026
- RBI Basel III capital regulations
- Model: ICICI_Bank_Recession_Simulation_Model.xlsx (16 sheets, every number formula-linked)

Disclaimer: an academic simulation. ICICI Bank's real Q2 FY27 results (PAT ₹14,843 cr, GNPA 1.20%) show no recession; the scenario is hypothetical.

Thank you

Protect capital and customers first; grow only when the return beats the risk.

Questions welcome